small *kaarigar*s (craftsmen) to large manufacturers." Gujarat's 'diamond belt'—spanning Surat, Navsari, Bhavnagar, Junagadh, Amreli, Palanpur, Visnagar, Botad and Jasdan—employs some 800,000 cutters and polishers. That entire ecosystem now stares with trepidation at what could be an immediate collapse of its primary source of sustenance.

Engineering goods, too, are feeling the heat. Exports worth $20 billion (Rs 1.8 lakh crore) to the US are now in jeopardy, battered by earlier sector-specific duties—50 per cent on some steel products and 25 per cent on automotive components—alongside the latest 50 per cent blanket tariff. The industry, which supports a workforce of up to 1.5 million people, may see its export revenue from the US drop by half.

OTHER PAIN POINTS

Textiles is another significant sector that is feeling the tremors. Thirty per cent of Indian textiles and apparel exports head to the US, bringing in $10.8 billion (Rs 95,040 crore) in revenue. Of this, Rs 44,000 crore comes from Tiruppur, widely hailed as the knitwear capital of India, which exports 40 per cent of its output to the US and gives employment to nearly 1 million workers. The plight of R.K. Siva Subramaniam, founder & chairman of innerwear company Raft Garments, best exemplifies what the sector is going through. Subramaniam's company gets 50 per cent of its business from the US, and he reckons they will lose 25 per cent of their turnover should the tariff situation not change. "We supply half a million pieces in a month," he says. "For the goods ready for shipment this month, customers are already asking for up to 16 per cent discount, which is tough for us as apparel is a single-digit margin business. But we have no choice. In fact, for next month, buyers are not even willing to place new orders as they can't absorb the remaining 34 per cent tariff." It cannot be good news for the 400 workers he employs across two factories, who may find themselves out of work if orders don't resume, though Subramaniam will wait till Diwali to take a call. The company had also invested heavily in infrastructure and bought raw material for new orders. "All investments for exporters are on credit, and our financial cycle will collapse if this is not sorted out soon," says Subramaniam.


AFP

THE GREAT DISRUPTER
US President Donald Trump at the Oval Office in the White House, Sept. 2

CURRENTLY, EXPERTS SEE TWO WAYS TO STAY COMPETITIVE: UNDERCUT PRICES OR OFFER CUSTOMERS MORE TIME TO PAY. BOTH WILL REQUIRE GOVT SUPPORT

Other sectors are also floundering. The seafood segment, comprising primarily shrimps from Andhra Pradesh and Kerala, is battling 60 per cent tariffs, including an existing anti-dumping cess of 10 per cent. These will take a heavy toll on $2.8 billion (Rs 24,640 crore) worth of seafood exports to the US, while the ripple effect will threaten the livelihoods of some 28 million people. Ditto for the leather industry, which exported goods worth $1.2 billion (Rs 10,560 crore) to the US in FY25, or 21.7 per cent of India's total leather exports.

MITIGATING THE IMPACT

Indian businesses had seen some of this coming, considering Trump had announced the 25 per cent reciprocal tariffs in April. What has blindsided them is the additional 25 per cent punitive levy he announced in July. If losing relationships with existing customers, built painstakingly over the years, is a difficult process, so is carving space in a new market, since other